The Art of Hedging

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Webster defines "to hedge" as "to protect oneself from loss by betting on both sides." Hedging as a commercial operation is practiced quite generally among flour millers and cotton spinners. While the details thereof might appear rather complicated, in essence it consists of selling "futures" short at the time the staple is purchased, so as to guard against fluctuations in price during the period of manufacture.

In the securities market a form of hedging very common on foreign Stock Exchanges is the use of puts or calls against long or short stock respectively. If a man purchases one hundred shares of U. S. Steel at 106, for instance, he might limit his possible loss by buying also a put good for thirty days at 102. This means that however low the stock may break, he has the right to sell it at any time within the next month at 102, so that his maximum loss under the worst possible conditions would be $400 plus the cost of the put (and commissions). This arrangement is often preferable to a stop loss order, because it guards against loss through a temporary fluction. Should Steel drop to 101½ and then rally to 115 during the month, the man with a stop loss order at 102 would have been forced out at his limit, while a put would have carried him safely through to a large ultimate profit.